SCHOOL OF TRANSNATIONAL GOVERNANCE

STG Policy Papers

POLICY BRIEF

SEAS OF OPPORTUNITY: THE BLUE ECONOMY AND REGIONAL INTEGRATION IN AFRICA

Author:
Krishnaveni P. Nagen

ISSUE 2024/25
SEPTEMBER 2024

Florence School of Transnational Governance

SCHOOL OF TRANSNATIONAL GOVERNANCE

EXECUTIVE SUMMARY

The Blue Economy (BE), which is recognised by the African Union (AU) as the "new frontier of African Renaissance,"[1] is one of the keys to the door to a sustainable African continent. With its vast maritime zone totalling about 13 million square kilometres, Africa is richly endowed with bountiful ocean resources, which represent a wealth of opportunities for its citizens, including nutritional security, job creation, and energy creation. While the AU and the Regional Economic Communities (RECs) have developed BE strategies, progress on the BE agenda varies due to challenges experienced at the local, national, and regional levels. Climate change, marine pollution and illegal, unregulated and unreported (IUU) fishing are some of the main constraints that hamper the development of the BE in Africa.

This policy brief argues that regional integration (RI) is paramount to tackling challenges facing the BE and harnessing its full potential in Africa. It sheds light on the pivotal role that collaborative efforts among countries play in BE growth and development and advocates a holistic approach in order to reap the full benefits of Africa's oceanic resources.

Author:

Krishnaveni P. Nagen | Young African Leader Fellow (2023-2024), Florence School of Transnational Governance, EUI

Views expressed in this publication reflect the opinion of individual authors and not those of the European University Institute

1 United Nations Economic Commission for Africa (UNECA). Africa's Blue Economy: A policy handbook. Available at https://www.un.org/africarenewal/sites/www.un.org.africarenewal/files/Africa%27s_Blue_Economy_A_policy_handbook.pdf

1. INTRODUCTION

The African continent, which is surrounded by the Red Sea, the Mediterranean Sea, the Atlantic Ocean, and the Indian Ocean, boasts abundant marine resources. The aquatic environments in Africa include oceans, coasts, lakes, rivers, and underground water. The BE encompasses a range of productive sectors such as fisheries, aquaculture, tourism, transport, shipbuilding, energy, bioprospecting, underwater mining, and related activities.[2] Currently, the African BE sectors contribute USD 296 billion and support 49 million jobs. Projections indicate that by 2063, these figures will have increased to USD 576 billion and 78 million jobs.[3]

The BE and RI have been at the centre of political discourse in the last few decades. The AU, the RECs, intergovernmental organisations, and various countries, such as South Africa, Tanzania, Mauritius and Seychelles, have engaged in the development of BE policies, strategies and/or action plans as a way of achieving socio-economic development. The plethora of BE meetings and summits held in Africa is a testament that the significance of RI cannot be understated, as it is poised to play a central role in promoting Africa's blue growth through adequate formulation and implementation of regional policies, resource mobilisation, and building policy synergies. For instance, the 21st session of the Intergovernmental Committee of Experts in Comoros in November 2017 highlighted the importance of cooperation in effectively harnessing the benefits of the BE.

BE development in Africa is, however, still constrained by a series of challenges at the local, national, and regional levels. While common challenges like a lack of finance, marine pollution, and climate change exist, other salient challenges like insufficient government interest, fragmented BE initiatives at the national level, corruption, and a lack of synergy among national entities and regional organisations also undermine the growth of the BE. In Ghana, for instance, political unwillingness, bribery, and resistance to change are some of the constraints that prevent development of the BE.[4]

The approach to the BE in Africa is currently linear and compartmentalised, with weak connections between different levels of intervention (global, regional, and national).[5] Karani et al. (2022) find that BE activities in Africa are predominantly sectoral in approach and concentrated in a few coastal countries. Given that the BE is interconnected through its economic, environmental, social and geopolitical dimensions, countries cannot operate in isolation. This makes a compelling case for economies and RECs to foster RI to exploit the BE and reap the maximum benefits. Cooperation and collaboration among national and regional bodies is inevitable and necessary to ensure sustainable and equitable benefits and conservation of

2 United Nations Economic Commission for Africa (UNECA). Africa's Blue Economy: A policy handbook. Available at https://www.un.org/africarenewal/sites/www.un.org.africarenewal/files/Africa%27s_Blue_Economy_A_policy_handbook.pdf
3 AU-IBAR, 2019. Africa Blue Economy Strategy. Nairobi, Kenya. Africa Blue Economy Strategy, The African Union – InterAfrican Bureau for Animal Resources (AU-IBAR)
4 Benjamin Ashitey Amarh (Jan 2019). The Challenges of the Blue Economy in Ghana and the way forward. Available at https://www.texilajournal.com/thumbs/article/Management_Vol%205_Issue%201_Article_6.pdf
5 Concept Note for the Ad Hoc Expert Group Meeting (AEGM): Harnessing the Blue Economy for Regional Integration (Nov 2019). Available at https://archive.uneca.org/sites/default/files/uploaded-documents/SROs/EA/ICSOE/Concept-Notes/cn_harnessing_the_blue_economy_for_regional_integration_-_23rd_icsoe.pdf

ocean resources.[6] Lebale et al. (2009) further suggest that RI may result in the pooling of resources and expansion of local markets, thus fostering increased production, trade, and investment opportunities.

2. REGIONAL BLUE ECONOMY (BE) INITIATIVES IN AFRICA

2.1 The African Union

Agenda 2063 of the African Union declares the Blue Economy to be "Africa's future".[7] It is a priority aim towards achieving the aspiration of "A prosperous Africa based on inclusive growth and sustainable development" in the AU Agenda 2063. In this regard, the Africa Integrated Maritime Strategy (2050 AIM Strategy) was adopted in January 2014. It envisions developing a sustainable BE. Also endorsed in the same year was the Policy Framework and Reform Strategy for Fisheries and Aquaculture in Africa, which aims to establish a favourable framework for the fisheries sector to promote inclusive social and economic advances in Africa.

The momentum in BE development was further reinforced in 2019 with the endorsement of the Africa Blue Economy Strategy, which envisions an inclusive and sustainable BE that will contribute to the transformation and growth of Africa. The strategy indeed paved the way for development of several regional and national BE strategies. Recognising the importance of regional cooperation in the sustainable management of shared marine resources, the AU has been deepening its collaboration with several African countries and RECs to promote BE development.

However, it is important to note that the AU is experiencing several challenges regarding the implementation of various BE strategies due to a confluence of factors such as insufficient funding, lack of political will and vision, shortage of expertise, capacity constraints, and poor governance. These challenges slow blue growth and can seriously undermine the aspirations of the AU. There is therefore a dire need to take the necessary steps towards deeper collaboration and integration.

2.2. Regional Economic Communities (RECs)

The table below lists the RECs that have embarked on BE initiatives and set up their own regional BE strategies.

Table 1: List of RECs with regional BE initiatives and strategies

RECs	BE initiatives	Regional BE strategy
Economic Community of West African States (ECOWAS)	yes	in progress
Southern African Development Community (SADC)	yes	yes
East African Community (EAC)	yes	yes
Intergovernmental Authority on Development (IGAD)	yes	yes
Common Market for Eastern and Southern Africa (COMESA)	yes	in progress

6 Bernerd Fulanda, Mohamed Seisay and Obinna Anozie. Coastal And Marine Spatial Planning; A Need for Policy Uptake to Support the Blue Economy Development in the Western Indian Ocean Region. Available at https://symposium.wiomsa.org/wp-content/uploads/2022/Poster-Presentations-2022/11October22/Fulanda-et-al.pdf

7 United Nations. Economic Commission for Africa (2018-11). Africa's blue economy: opportunities and challenges to bolster sustainable development and socioeconomic transformation: issues paper. Available at https://repository.uneca.org/bitstream/handle/10855/43065/b11954991.pdf?sequence=1&isAllowed=y

Economic Community of Central African States (ECCAS)	yes	yes
Arab Maghreb Union (AMU)	no	no
Community of Sahel–Saharan States (CEN–SAD)	no	no

So far, four of the eight RECs have established their own BE strategies. The EAC and ECCAS are richly endowed with water bodies and so have immense BE opportunities which can contribute to the region's economic development and structural transformation. The ECCAS is one of the richest regions in Africa in terms of aquatic resources,[8] and it should tap this opportunity to accelerate sustainable growth and development in the region. Both the EAC and the ECCAS are actively implementing BE strategies to conserve marine ecosystems and enhance food resilience in the region.

The IGAD is also well endowed as it has about 6960 Km of coastline on the Indian Ocean, Gulf of Aden, Gulf of Toudjoura and the Red Sea. The IGAD and the SADC have both recently adopted their regional BE strategies (IGAD in 2022 and SADC in 2023). The SADC has long prioritised the development of fisheries and aquaculture, with initiatives dating back to the early 2000s, including the adoption of the SADC Protocol on Fisheries in 2001 and a commitment to combat IUU fishing in 2008. Various frameworks are currently underway to promote aquaculture, manage shared resources, and combat IUU fishing in the SADC region. The IGAD has also been conducting various capacity-building programmes since the adoption of its regional strategy to promote fish production and coastal biodiversity resources. In October 2023, the IGAD's BE Project Steering Committee advocated more private sector engagement and a high-level dialogue on resource mobilisation to implement the national BE strategies of its member states.[9]

Unfortunately, the COMESA has made limited progress with its BE development agenda. Despite the BE being included in the COMESA Medium Term Strategic Plan (MTSP) 2016-2020, implementation has been sluggish due to coordination issues among the RECs, organisational deficiencies at the secretariat, and poor harmonisation of national and regional BE policies. The current MTSP (2021-2025) aims to support member states in areas such as fish production, coastal tourism, transport, ports and sustainable energy. The COMESA is currently finalising its BE strategy.

On the other hand, the ECOWAS adopted the Comprehensive Strategic Framework for Sustainable Fisheries and Aquaculture in 2019, given the strategic importance of the fisheries sector in the region. The strategy focuses on seven main priority areas including trade, empowerment of young people and women, and climate change, to enhance the contribution of West Africa's fisheries to its socio-economic development.

The AMU and the CEN-SAD are the RECs that have not yet embarked on BE initiatives. Adopting relevant BE regional strategies could bring enormous gains to their respective regions. Both organisations could leverage the significant coastline along the Mediterranean Sea and the Atlantic Ocean to promote food security, employment, and economic growth.

8 Karani P, Failler P, Gilau AM, Ndende M, Diop ST. Africa Blue Economy Strategies Integrated in Planning to Achieve Sustainable Development at National and Regional Economic Communities (RECs). J Sustain Res. 2022;4(3): https://doi.org/10.20900/jsr20220011
9 https://igad.int/igad-blue-economy-projects-steering-committee-gauges-implementation-progress/

As can be observed, even though many efforts have been made by most of the RECs to develop and align their BE strategies with the AU BE Strategy and the AIMS, progress remains uneven as each REC has its own distinctive approach and challenges. The fact that so far only ten African countries and four RECs have developed their national and regional BE strategies demonstrates that huge challenges need to be addressed at all levels. Whilst most of the RECs have recognised the importance of RI as an important pillar in BE development, several constraints hamper their efforts towards integration. When member states lack the necessary political will to fully engage in RI in a particular area, progress stalls. Therefore, greater efforts need to be made in terms of cross-border cooperation to encourage member states' commitment and strengthen collaboration among the RECs and other stakeholders.

3. OTHER REGIONAL BLUE ECONOMY (BE) INITIATIVES AND PARTNERSHIPS WITH AFRICA

3.1 The Africa-European Union (EU) Partnership

The EU considers the promotion of RI a fundamental pillar in its global relations.[10] It has been actively collaborating with Africa at various levels to promote BE initiatives and provide substantial financial and technical support. Through initiatives like the SmartFish and ECOFISH programmes, the EU has allocated significant funds to enhance sustainable fishing practices in the East and Southern Africa Indian Ocean regions. These programmes, which involved multiple African countries, RECs and regional bodies like the Indian Ocean Commission (IOC), aimed at capacity building and fishery management. For example, the SmartFish Programme implemented by the IOC from 2011 to 2017 facilitated the development of monitoring control and surveillance capabilities and provided operational training on selected large East African Lakes.

The Regional Fisheries Surveillance Plan (PRSP), a regional cooperation mechanism falling under the ECOFISH programme, has been a successful model combatting IUU fishing in the southwest Indian Ocean. Established in 2007, the PRSP has achieved significant milestones through information sharing, data pooling, and joint fishery surveillance patrols. Notably, 883 vessels have been monitored using the regional vessel monitoring system (VMS), with 61 regional patrols conducted between 2007 and 2023. In addition, the EU reports that there have been 4.95 million VMS data exchanges since 2014.

3.2 The Africa-World Bank Partnership

Since 2005, the World Bank has actively supported Africa's efforts to invest in sustainable fisheries through initiatives like the Global Programme on Fisheries (PROFISH), the West Africa Regional Fisheries Programme (WARF-P), and the South West Indian Ocean Fisheries Governance and Shared Growth Programme (SWIOFish). These projects adopt a regional approach and involve various African countries and neighbouring island nations. For instance, Tanzania has established marine protected areas (MPA) along Its coastline with World Bank assistance, resulting in increased fish stocks and benefiting both the environment and coastal livelihoods. In 2022, the World Bank announced the launch of a 'Blue Economy

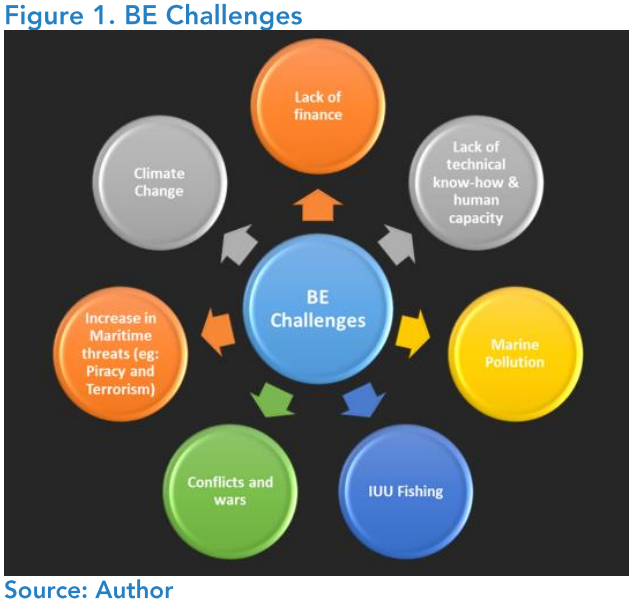
10 Christopher Otieno Omolo 2019. The Africa-EU Relations and Regional Integration in Africa: Reassessing the EU's Influence on Africa's Integration Project(s). Available at https://shs.cairn.info/revue-l-europe-en-formation-2019-1-page-27?lang=fr

for Resilient Africa Programme' (BE4RAP), aimed at catalysing financing and addressing development challenges in coastal-marine areas across the African continent.

4. TACKLING BLUE ECONOMY (BE) CHALLENGES TO REGIONAL INTEGRATION (RI)

When it comes to harnessing the BE, the main challenges faced by the African continent are as depicted in Figure 1.

Figure 1. BE Challenges



Source: Author

Other challenges that hinder successful implementation of BE initiatives are a lack of awareness of the importance of the BE for the continent, a lack of political will at the national level, failure to align national blue policies to regional ones, and a lack of coordination among the RECs.

Given that RI has emerged as one of the main strategies to foster collaboration and attain mutual progress in various spheres, African countries should strive for greater coordination and integration in the BE domain in order to achieve sustainable economic benefits from ocean resources. Various research findings have indeed revealed a positive correlation between RI and economic growth. A recent study by Seth and Tche (2023) on RI and the BE for the Seychelles reveals that RI contributes to economic growth, with the Seychelles BE as an essential driver.

The inclusion of the BE in the RI agenda would generate endless opportunities that would help Africa's structural transformation. A BE approach centred on RI has the potential to significantly contribute to enhanced trade, food production and security, maritime infrastructure development, renewable energy generation, job opportunities and inclusive growth, among other things. For example, fisheries projects under the SADC have led to an increase in aquaculture production in the SADC region from 92,773 tonnes in 2019 to 100,950 tonnes in 2020.

In addition, with the BE being a cross-cutting issue, RI is even more relevant for isolated weak economies and coastal states. Rather than pursuing a fragmented approach, these countries can use RI as a strategy to leverage the strength of regional blocs for greater benefits. For example, the 'INTERREG V Indian Ocean' programme funded by the EU has enabled several African small island developing states (SIDS) and coastal states such as Mauritius, Seychelles, Kenya, and Mozambique to combat IUU fishing in five joint patrols undertaken during the period 2020-2023. Cooperation is therefore fundamental as it can help in devising regional funding mechanisms and securing funding from international development partners.

At the same time, while forging cooperation on BE matters, Africa also reinforces its climate resilience with projects focusing on *inter-alia*, blue-carbon financing and blue technologies. Regional blue policies can also trigger the development of appropriate policies for the delineation of maritime boundaries to reduce maritime boundary

disputes, thereby improving maritime governance. With cooperation, countries can change their perspective and view other nations as collaborative partners rather than as competitors.

5. RECOMMENDATIONS

The success of regional BE programmes serves as compelling proof that RI can propel the BE agenda forward. By fostering collaboration among member states and leveraging collective resources, regional projects exemplify the potential for RI to unlock the economic opportunities presented by the BE. Through the inclusion of BE sectors in the RI agenda, countries can achieve policy coherence and better governance, leading to inclusive growth and development.

However, as mentioned earlier, the fact that most RECs tend to work in silos and rarely cooperate with each other is a major obstacle to blue growth. Below are key recommendations that should be adopted by the AU, the RECs and relevant stakeholders to fully leverage the potential of Africa's BE through RI.

a) Foster cooperation and collaboration among Regional Economic Communities (RECs)

Despite having their own BE strategies, the RECs should engage in constructive dialogues to discuss joint policies and integrated frameworks for promoting blue economic development. Collaboration among governments, industry and academia is essential to foster synergies, avoid duplication of activities, and prevent wastage of resources.

b) A people-centred approach

The success of developing the BE will depend on the extent to which community engagement is prioritised and the degree of inclusivity in projects. The RECs should work closely with local and coastal communities and ensure their inclusion in decision-making processes regarding BE initiatives. This would reduce conflicts, promote social inclusion, and ensure that communities directly benefit from projects.

c) Sustainable and innovative financing mechanisms

Many national/regional BE projects suffer from inadequate funding, leading RECs to rely heavily on international funding partners/donors. To ensure the success of BE initiatives, there is a pressing need for sustainable and innovative financing mechanisms in Africa. Blue Bonds, for instance, can serve as a powerful instrument to unlock finance for sustainable BE projects. Even though the blue bond concept is still a new phenomenon in Africa, some countries like Seychelles, Gabon, and Cabo Verde have set a precedent by issuing blue bonds. The RECs, with AU's assistance, should aim at devising such innovative regional financing mechanisms to sustain BE projects in Africa.

d) Capacity building and technical assistance

Continual efforts should be made to train key stakeholders, government officials, and staff working at the AU and the RECs. Cooperation with international partners for technical assistance should be promoted. This would help reinforce the skills of the African workforce in the BE sector and ensure long-term success.

e) Reinforcing maritime safety and security

Africa has witnessed a surge in maritime incidents and threats over the past decade, including the MV Wakashio oil spill, Iranian IUU fishing activities and increased piracy in the Gulf of Guinea. These incidents have directly impacted marine resources, causing environmental damage and significant losses, thus undermining blue growth. Regional cooperation among the AU, the

RECs and other regional bodies is essential and should be strengthened to support BE development. Successful examples of regional cooperation include the Contact Group on piracy off the coast of Somalia (CGPCS) and the Zone of Peace and Cooperation of the South Atlantic (ZOPACAS).

f) Raising awareness

Raising awareness of the importance of the BE should start at the community level. Integration of BE education in secondary and tertiary curricula is crucial since it will help in fostering the right mindset amongst the younger generations. As students become more informed and empowered, they develop responsible habits and behaviours from a young age, transforming them into proactive agents of change. Public awareness campaigns, including commemorations like the Africa Ocean Day, should be conducted on a large scale to encourage active participation in BE initiatives. Sharing success stories of BE practices can further promote awareness and encourage replication across AU member states.

g) An African Blue Economy development index

There is a need for Africa to have its own BE Development Index, which could be used as a developmental tool to gauge the level of blue economic development in a country or region. This tool could be used at the national and regional levels to track the progress made towards becoming a sustainable BE country or region. This initiative could be spearheaded by the AU and could serve as a powerful tool to monitor and evaluate various BE policies.

6. CONCLUSION

Regional Integration is key when it comes to harnessing Africa's 'new frontier'. Although the AU coordinates and facilitates the implementation of BE policies and strategies, the actual development of the BE takes place at the national and regional levels. Therefore, it is important for the relevant authorities to take the necessary steps to ensure an inclusive approach and greater integration at all levels. Countries should demonstrate their willingness to cooperate and foster RI in the BE sector, which would ultimately help reinforce Africa's power to fight developmental challenges and build a more resilient continent in the face of any future global crises.

The Florence School of Transnational Governance (STG) delivers teaching and high-level training in the methods, knowledge, skills and practice of governance beyond the State. Based within the European University Institute (EUI) in Florence, the School brings the worlds of academia and policy-making together in an effort to navigate a context, both inside and outside Europe, where policy-making increasingly transcends national borders.

The School offers Executive Training Seminars for experienced professionals and a Policy Leaders Fellowship for early- and mid-career innovators. The School also hosts expert Policy Dialogues and distinguished lectures from transnational leaders (to include the STG's Leaders Beyond the State series which recorded the experiences of former European Institution presidents, and the Giorgio La Pira Lecture series which focuses on building bridges between Africa and Europe). In September 2020, the School launched its Master-of-Arts in Transnational Governance (MTnG), which will educate and train a new breed of policy leader able to navigate the unprecedented issues our world will face during the next decade and beyond.

The STG Policy Papers Collection aims to further the EUI School of Transnational Governance's goal in creating a bridge between academia and policy and provide actionable knowledge for policy-making. The collection includes Policy Points (providing information at-a-glance), Policy Briefs (concise summaries of issues and recommended policy options), and Policy Analyses (in-depth analysis of particular issues). The contributions provide topical and policy-oriented perspectives on a diverse range of issues relevant to transnational governance. They are authored by STG staff and guest authors invited to contribute on particular topics.

Florence School of Transnational Governance
European University Institute
Via Camillo Cavour 65, Firenze, FI 50129
Email: stg.publications@eui.eu

www.eui.eu/stg

Co-funded by the European Union

Funded by the European Union. Views and opinions expressed are however those of the author(s) only and do not necessarily reflect those of the European Union or the European Education and Culture Executive Agency (EACEA). Neither the European Union nor EACEA can be held responsible for them.

This work is licensed under the Creative Commons Attribution 4.0 (CC-BY 4.0) International license which governs the terms of access and reuse for this work. If cited or quoted, reference should be made to the full name of the author(s), editor(s), the title, the series and number, the year and the publisher.

DOI: 10.2870/023622
ISBN: 978-92-9466-521-8
ISSN: 2600-271X
QM-BA-24-025-EN-N

© European University Institute, 2024